

PROJECT REPORT

BLACK CLAY FLOWER POT MAKING UNIT

PURPOSE OF THE DOCUMENT

This particular pre-feasibility is regarding Black Clay Flower Pot Making Unit.

The objective of the pre-feasibility is primarily to facilitate potential entrepreneurs in project identification for investment and in order to serve this objective; the document covers various aspects of the project concept development, startup, marketing, and finance and business management.

[We can modify the project capacity and project cost as per your requirement. We can also prepare project report on any subject as per your requirement.]

Prepared By:

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In Association with

Samadhan Samiti



PROJECT FEASIBILITY
REPORT- ODOP
DISTRICT AZAMGARH:
BLACK CLAY FLOWER POT
MAKING UNIT

TABLE OF CONTENT

1. District Profile

- *History*
- *Location & Infrastructure*
- *Cultural & Heritage Importance*
- *Industrial Importance*

2. Introduction

3. Market Potential

4. Product Description

- 4.1. Product Uses*
- 4.2. Raw Material*
- 4.3. Manufacturing Process*

5. Project Components

- 5.1. Land*
- 5.2. Civil Work*
- 5.3. Tools & Machinery*
- 5.4. Miscellaneous Asset*
- 5.5. Power Requirement*
- 5.6. Man Power Requirement*

6. Financial Aspects

- 6.1. Balance sheet*
- 6.2. Profitability Statement*
- 6.3. Cash flow Statement*
- 6.4. Computation of Production and raw material consumed*
- 6.5. Computation of Sale*
- 6.6. Computation of Closing stock and Working Capital*
- 6.7. Repayment Schedule*
- 6.8. Depreciation Schedule*
- 6.9. Computation of Electricity*
- 6.10. Computation of Salary & Wages*
- 6.11. Financial Indicators*
- 6.12. Break-even Analysis*
- 6.13. DSCR*

7. License & Approvals

8. SWOT Analysis

9. Assumptions

BLACK CLAY FLOWER POT MAKING UNIT

1. District Profile:

The entire district of Azamgarh in Uttar Pradesh is the geographical areas of Nizamabad Black Pottery. The district is rich in cultural and religious activities as it lies in the eastern part of the state.

- **History-** The district is named after its headquarters town, Azamgarh, which was founded in 1665 by Azam, son of Vikramajit. Vikramajit a descendant of Gautam Rajputs of Mehnagar in pargana Nizamabad, like some of his predecessors, had embraced the faith of Islam.
- **Location and Infrastructure-** Azamgarh is a city in the Indian state of Uttar Pradesh. It is the headquarters of Azamgarh division, which consists of Ballia, Mau and Azamgarh districts. Azamgarh is situated on the bank of Tamsa River (Tons). It is located 268 km (167 mi) east of the state capital Lucknow and has District Azamgarh has 22 blocks.
- **Cultural and Heritage Importance-** The sage Durvasa, from Hindu Puranas, is said to have had his ashram near the present-day city of Azamgarh. Azamgarh is also home to the famous mosque of Rajaji Sahab and the temple of Thakurji. A few historical



places in Azamgarh are Dattatreya, Govindsahab, and Avantikapuri. In the main city, there are a number of colleges for professional studies, like Engineering and Medicine.

- **Industrial Importance-** The most famous craft is its distinctive black clay pottery. One of the oldest industries of the district, pottery still contributes substantially to the economic life of the people. The fancy pottery made in Nizamabad is famous in the world.

2. Introduction:



India a country with enormous art and literature is a land rich in various cultures, designs, ethnicity, scriptures, architect and many more. Among them, the art of pottery is a talent treasure which the country holds. Majorly a technique of changing

wet soil into beautiful shapes via art of hand and wheel. The pottery industry is often called “from mud to money” industry/sector.

The black clay pottery of Nizamabad in Azamgarh district of Uttar Pradesh, India is a unique type of clay pottery known for its dark shiny body with engraved silver patterns. It was registered for Geographical Indication tag in December 2015. Nizamabad had been famous for this art since Mughal rule (Aurangzeb). Fine textured clay is used which is locally available.

The silver wire around some pieces is inspired by Bidriware (metal handicraft from Bidar). It's a long process to be done cautiously. Now the black shiny pots and vessels are ready to attract and seduce your eyes. Variety of household and decorative items are made including vases, plates, pots, saucers, lamp, tea-pots, bowls, chillum (pipes), incense stick holder, surahi are the attractions. Also, they make a statue which reflects the divine beauty. People who visit here can't deny buying these products. The focus is to revive it for day to day use, so that consumption increases and there is a growing demand. The pottery of Nizamabad has a unique place at the international market.

3. Market Potential:

The craft originated from Kutch region of Gujarat state. Some potters of the region migrated to Nizamabad during the Mughal rule of Aurangzeb. The silver patterns are inspired from Bidriware of Hyderabad which decorates pots using silver wires. Around 200 families are involved in the craft in Nizamabad and majority of their works are exported. Still their condition remains abysmal. The black clay pottery was applied for Geographical Indication (GI) tag in October 2013 with support of NABARD of Lucknow and Human Welfare Association

of Varanasi. It was registered for GI tag in December 2015 which gives the right to name the product to specific geographic region of origin only. The products made have huge demands in the international market as well as the national urban markets.

The pottery-making industry exported products a total value worth US\$ 3.3 billion in 2012-13. Furthermore, it registered a growth of approximately 22% over the previous years.

4. Product Description:

4.1.Product Uses: The variety of household and decorative items are made including vases, plates, pots, lamps, tea-pots, bowls, vessels, incense stick holders and statues of Hindu religious figures. Surahi, a long-necked water pot, is a popular item.

4.2.Raw Material: The grooves on clay wares are then filled with:

- Fine Textured Clay
- Silvery powder of zinc and mercury washed with water and polished
- Lead and Amalgam is also used
- Hand Tools
- Carving and Decorating Tools
- Glaze and Colorants
- Potter's Wheel
- Worktable
- Shelves/Racks for storage and display of your clay wares
- Kiln
- Business Card

- Product Catalogue

Average raw material cost: Rs.95-105 (Approx.)

4.3.Manufacturing Process: Indian Black Pottery is made at Nizamad in Azamgarh district. The products made include Vases, decorative pieces and Flower Pots.

- The pottery is made with locally available fine textured clay.
- The clay moulds are prepared in different shapes and are baked in kiln.
- Later these clay wares are washed with powdered vegetable matter and are rubbed with mustard oil. The lustrous black pottery is rubbed with special oil and then fired twice.
- They are decorated with floral and geometric patterned grooves using sharp twigs. Various beautiful floral and geometric designs are then etched to it. The black surface with its silvery design has an uncanny resemblance to the bidri metal ware, the matt black of the base offset by the silver sheen of the designs.
- They are smoke fired with rice husks in enclosed kilns which gives its unique shiny black surface.
- The deep black colour is obtained by mixing the local clay with mustard oil seed cake. The silvery ornamentation on the pottery is done by rubbing an amalgam of mercury and tin into the etched and baked patterns on the pots, thereby producing the silvery tracery. The products made have huge demands in the international market as well as the national urban markets.

- The pottery is found to be decorated by painting, stamping, making incisions, molding and appliqué designs. Mainly the decorations consist of horizontal lines, loops, diamonds, circles, triangles, crises-cross, human, animal and bird motifs, rosettes, floral designs and a variety of religious symbols. But during the post- Gupta period, this decorated pottery lost its charm and color.

**Processing of Clay: Cleaning, Mixing
& Kneading**

**Throwing: sentring, coning, raising
up, plunging, drawing, thinning the
wall, forming, collaring, smoothing,
cutting off & removing**

Beating & Enlarging

**Finishing & Decorating: Polishing
and painting**

Throwing or modeling by hand may provide only shape to the pot which requires further treatment in to a finished product. In such cases, the last stage of manufacture includes such various processes as shaving, slipping, polishing, engraving, stamping and inlay.

5. Project Components:

5.1. Land: The required land for pottery making is estimated to be around 1000sqft. The rooftop and corridors of houses covered with pots drying in sun showcase the feature of the town itself.

5.2. Civil Work:

- Workshop Area- This area includes the wheel set up and foundation space for all equipments, work floor area, and necessary tooling, painting and polishing. Total workshop area is approx. 500Sqft.
- Inventory Area- This area includes the storage space for all the raw materials, tooling and storage space and finished goods. Total inventory area is approx. 300Sqft.
- Office Area – This space includes staff working region.. Total workshop area is approx 200Sqft.

Land and building requirement may vary depending on the size of project.

5.3. Tools & Machinery: The potter's wheel can be classified in to two groups: the single wheel and the double wheel:

Single wheel: This can be classified in to the following types

Socketed Block- Wheel	
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Socketed Spoked Wheel	
Pivoted Wheel	

Double wheel	It is popularly known as the kick wheel that has two wooden discs supported by a long shaft whose tenon rests and revolves in a socket provided at the bottom of the pit in which the entire wheel is suitably accommodated. The pot is thrown on the upper disc, and the wheel is turned by kicking the lower disc by the means of the right foot	
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Pugmill	A pugmill or pug mill is a machine in which clay or other materials are mixed into a plastic state or a similar machine for the trituration of ore. Industrial applications are found in pottery, bricks, cement and some parts of the concrete and asphalt mixing processes. A pugmill may be a fast continuous mixer	
Kiln	A kiln is a thermally insulated chamber, a type of oven that produces temperatures sufficient to complete some process, such as hardening, drying, or chemical changes. Kilns have been used for millennia to turn objects made from clay into pottery	

Average Tools and Machineries cost will be Rs. 4.15 Lakh (Approx.) exclusive of GST & installation cost.

5.4. Miscellaneous Assets:

- ✓ Water Supply Arrangements
- ✓ Furniture
- ✓ Stationery

5.5. Power Requirement: The power required must be around 25-30 HP.

5.6. Man Power Requirement: Following manpower is required:

- Skilled/Unskilled Worker-4
- Helper-4
- 2 Skilled worker including Sales Personal and Accountant.

6.

**FINANCIAL
ASPECTS**

PROJECT AT A GLANCE

- 1 Name of the Entrepreneur : xxxxxxxxxx
- 2 Constitution (legal Status) : xxxxxxxxxx
- 3 Father / Spouse Name : xxxxxxxxxxxxxx
- 4 Unit Address : xxxxxxxxxxxxxxxxxxxxxx
- District : xxxxxxxx
Pin: xxxxxxxx State: xxxxxx
Mobile xxxxxxxx
- 5 Product and By Product : **BLACK CLAY FLOWER POTS**
- 6 Name of the project / business activity proposed : **BLACKCLAY HANDICRAFT UNIT (FLOWER POTS)**
- 7 Cost of Project : Rs.9.36 Lakhs
- 8 Means of Finance
Term Loan Rs.5.09 Lakhs
Own Capital Rs.0.94 Lakhs
Working Capital Rs.3.34 Lakhs
- 9 Debt Service Coverage Ratio : 2.98
- 10 Pay Back Period : 5 Years
- 11 Project Implementation Period : 5-6 Months
- 12 Break Even Point : 47%
- 13 Employment : 10 Persons
- 14 Power Requirement : 25.00 HP
- 15 Major Raw materials : Fine Textured Clay, Silvery powder of Zinc and Mercury, Lead and Amalgam, Hand Tools.
- 16 Estimated Annual Sales Turnover (Max Capacity) : 82.58 Lakhs
- 17 Detailed Cost of Project & Means of Finance

COST OF PROJECT

(Rs. In Lakhs)

Particulars	Amount
Plant & Machinery	4.15
Furniture & Fixtures	1.50
Working Capital	3.71
Total	9.36

MEANS OF FINANCE

Particulars	Amount
Own Contribution	0.94
Working Capital(Finance)	3.34
Term Loan	5.09
Total	9.36

PROJECTED BALANCE SHEET

PARTICULARS	I	II	III	IV	V
<u>SOURCES OF FUND</u>					
<u>Capital Account</u>					
Opening Balance	-	1.65	2.20	3.20	4.33
Add: Additions	0.94	-	-	-	-
Add: Net Profit	1.82	2.45	3.10	3.72	4.31
Less: Drawings	1.10	1.90	2.10	2.60	3.10
Closing Balance	1.65	2.20	3.20	4.33	5.53
CC Limit	3.34	3.34	3.34	3.34	3.34
Term Loan	4.52	3.39	2.26	1.13	-
Sundry Creditors	0.60	0.67	0.75	0.83	0.91
TOTAL :	10.11	9.60	9.55	9.62	9.78
<u>APPLICATION OF FUND</u>					
Fixed Assets (Gross)	5.65	5.65	5.65	5.65	5.65
Gross Dep.	0.77	1.44	2.01	2.50	2.92
Net Fixed Assets	4.88	4.21	3.64	3.15	2.73
Current Assets					
Sundry Debtors	1.70	1.98	2.23	2.49	2.75
Stock in Hand	2.61	2.95	3.30	3.67	4.06
Cash and Bank	0.92	0.46	0.37	0.31	0.24
TOTAL :	10.11	9.60	9.55	9.62	9.78
	-	-	-	-	-

PROJECTED PROFITABILITY STATEMENT

PARTICULARS	I	II	III	IV	V
<u>A) SALES</u>					
Gross Sale	50.90	59.52	66.88	74.57	82.58
Total (A)	50.90	59.52	66.88	74.57	82.58
B) COST OF SALES					
Raw Material Consumed	25.65	28.81	32.08	35.45	38.93
Electricity Expenses	2.80	3.08	3.36	3.64	3.92
Repairs & Maintenance	1.78	2.08	2.34	2.61	2.89
Labour & Wages	12.60	14.36	16.09	18.18	20.36
Depreciation	0.77	0.66	0.57	0.49	0.42
Cost of Production	43.60	49.00	54.43	60.37	66.52
Add: Opening Stock /WIP	-	1.76	1.99	2.24	2.49
Less: Closing Stock /WIP	1.76	1.99	2.24	2.49	2.76
Cost of Sales (B)	41.85	48.76	54.19	60.11	66.26
C) GROSS PROFIT (A-B)	9.05	10.75	12.69	14.46	16.33
	17.78%	18.07%	18.98%	19.39%	19.77%
D) Bank Interest i) (Term Loan)	0.55	0.45	0.33	0.20	0.08
ii) Interest On Working Capital	0.37	0.37	0.37	0.37	0.37
E) Salary to Staff	4.79	5.70	6.89	7.93	9.12
F) Selling & Adm Expenses Exp.	1.53	1.79	2.01	2.24	2.48
TOTAL (D+E+F)	7.23	8.30	9.59	10.73	12.04
H) NET PROFIT	1.82	2.45	3.10	3.72	4.29
	3.6%	4.1%	4.6%	5.0%	5.2%
I) Taxation	-	-	-	-	-
J) PROFIT (After Tax)	1.82	2.45	3.10	3.72	4.31

PROJECTED CASH FLOW STATEMENT

PARTICULARS	I	II	III	IV	V
<u>SOURCES OF FUND</u>					
Own Contribution	0.94	-			
Reserve & Surplus	1.82	2.45	3.10	3.72	4.29
Depreciation & Exp. W/off	0.77	0.66	0.57	0.49	0.42
Increase In Cash Credit	3.34				
Increase In Term Loan	5.09	-	-	-	-
Increase in Creditors	0.60	0.07	0.08	0.08	0.08
TOTAL :	12.54	3.19	3.75	4.30	4.79
<u>APPLICATION OF FUND</u>					
Increase in Fixed Assets	5.65	-	-	-	-
Increase in Stock	2.61	0.34	0.35	0.37	0.38
Increase in Debtors	1.70	0.29	0.25	0.26	0.27
Repayment of Term Loan	0.57	1.13	1.13	1.13	1.13
Taxation	-	-	-	-	- 0.02
Drawings	1.10	1.90	2.10	2.60	3.10
TOTAL :	11.62	3.66	3.83	4.36	4.86
Opening Cash & Bank Balance	-	0.92	0.46	0.37	0.31
Add : Surplus	0.92	- 0.47	- 0.08	- 0.06	- 0.07
Closing Cash & Bank Balance	0.92	0.46	0.37	0.31	0.24

COMPUTATION OF BLACK CLAY FLOWER POTS

Item to be Manufactured Black Clay Flower Pots			
Manufacturing Capacity per day		180	Pcs
No. of Working Hour		10	
No of Working Days per month		25	
No. of Working Day per annum		300	
Total Production per Annum		54,000	Pcs
Total Production per Annum		54,000	Pcs
Year		Capacity	POTS
		Utilisation	
I		50%	27,000.00
II		55%	29,700.00
III		60%	32,400.00
IV		65%	35,100.00
V		70%	37,800.00
Raw Material Consumed	Capacity	Cost per pcs	Amount (Rs.)
	Utilisation		
I	50%	95.00	25.65
II	55%	97.00	28.81
III	60%	99.00	32.08
IV	65%	101.00	35.45
V	70%	103.00	38.93

COMPUTATION OF SALE

Particulars	I	II	III	IV	V
Op Stock	-	900.00	990.00	1,080.00	1,170.00
Production	27,000.00	29,700.00	32,400.00	35,100.00	37,800.00
	27,000.00	30,600.00	33,390.00	36,180.00	38,970.00
Less : Closing Stock(10 Days)	900.00	990.00	1,080.00	1,170.00	1,260.00
Net Sale	26,100.00	29,610.00	32,310.00	35,010.00	37,710.00
Sale Price per pc	195.00	201.00	207.00	213.00	219.00
Sale (in Lacs)	50.90	59.52	66.88	74.57	82.58

COMPUTATION OF CLOSING STOCK & WORKING CAPITAL

PARTICULARS	I	II	III	IV	V
<u>Finished Goods</u>					
(10 Days requirement)	1.76	1.99	2.24	2.49	2.76
<u>Raw Material</u>					
(10 Days requirement)	0.86	0.96	1.07	1.18	1.30
Closing Stock	2.61	2.95	3.30	3.67	4.06

COMPUTATION OF WORKING CAPITAL REQUIREMENT

Particulars	Amount	Margin(10%)	Net Amount
Stock in Hand	2.61		
Less:			
Sundry Creditors	0.60		
Paid Stock	2.01	0.20	1.81
Sundry Debtors	1.70	0.17	1.53
Working Capital Requirement			3.34
Margin			0.37
MPBF			3.34
Working Capital Demand			3.34

REPAYMENT SCHEDULE OF TERM LOAN

11.0%

Year	Particulars	Amount	Addition	Total	Interest	Repayment	Cl Balance
I	Opening Balance						
	Ist Quarter	-	5.09	5.09	0.14	-	5.09
	Iind Quarter	5.09	-	5.09	0.14	-	5.09
	IIIrd Quarter	5.09	-	5.09	0.14	0.28	4.80
	Ivth Quarter	4.80	-	4.80	0.13	0.28	4.52
					0.55	0.57	
II	Opening Balance						
	Ist Quarter	4.52	-	4.52	0.12	0.28	4.24
	Iind Quarter	4.24	-	4.24	0.12	0.28	3.96
	IIIrd Quarter	3.96	-	3.96	0.11	0.28	3.67
	Ivth Quarter	3.67		3.67	0.10	0.28	3.39
					0.45	1.13	
III	Opening Balance						
	Ist Quarter	3.39	-	3.39	0.09	0.28	3.11
	Iind Quarter	3.11	-	3.11	0.09	0.28	2.83
	IIIrd Quarter	2.83	-	2.83	0.08	0.28	2.54
	Ivth Quarter	2.54		2.54	0.07	0.28	2.26
					0.33	1.13	
IV	Opening Balance						
	Ist Quarter	2.26	-	2.26	0.06	0.28	1.98
	Iind Quarter	1.98	-	1.98	0.05	0.28	1.70
	IIIrd Quarter	1.70	-	1.70	0.05	0.28	1.41
	Ivth Quarter	1.41		1.41	0.04	0.28	1.13
					0.20	1.13	
V	Opening Balance						
	Ist Quarter	1.13	-	1.13	0.03	0.28	0.85
	Iind Quarter	0.85	-	0.85	0.02	0.28	0.57
	IIIrd Quarter	0.57	-	0.57	0.02	0.28	0.28
	Ivth Quarter	0.28		0.28	0.01	0.28	-
					0.08	1.13	

Door to Door Period 60 Months

Moratorium Period 6 Months

Repayment Period 54 Months

COMPUTATION OF DEPRECIATION

Description		Plant & Machiney	Furniture	TOTAL
Rate of Depreciation		15.00%	10.00%	
Opening Balance			-	-
Addition	-	4.15	1.50	5.65
	-	4.15	1.50	5.65
			-	
TOTAL		4.15	1.50	5.65
Less : Depreciation	-	0.62	0.15	0.77
WDV at end of Ist year	-	3.53	1.35	4.88
Additions During The Year	-	-	-	-
	-	3.53	1.35	4.88
Less : Depreciation	-	0.53	0.14	0.66
WDV at end of IInd Year	-	3.00	1.22	4.21
Additions During The Year	-	-	-	-
	-	3.00	1.22	4.21
Less : Depreciation	-	0.45	0.12	0.57
WDV at end of IIIrd year	-	2.55	1.09	3.64
Additions During The Year	-		-	-
	-	2.55	1.09	3.64
Less : Depreciation	-	0.38	0.11	0.49
WDV at end of IV year	-	2.17	0.98	3.15
Additions During The Year	-	-	-	-
	-	2.17	0.98	3.15
Less : Depreciation	-	0.32	0.10	0.42
WDV at end of Vth year	-	1.84	0.89	2.73

COMPUTATION OF ELECTRICITY

<u>POWER CONNECTION</u>			
Total Working Hour per day	Hours	10	
Electric Load Required	HP	25	
Load Factor		0.7460	
Electricity Charges	per unit	10.00	
Total Working Days		300	
Electricity Charges			5,59,500.00
Total cost of Electricity at 100%			5.60
Year	Capacity		Amount
			(in Lacs)
I	50%		2.80
II	55%		3.08
III	60%		3.36
IV	65%		3.64
V	70%		3.92

BREAK UP OF LABOUR

Particulars	Wages	No of	Total
	Per Month	Employees	Salary
			-
Skilled/Unskilled Worker	14,000.00	4	56,000.00
Helper	11,000.00	4	44,000.00
			-
			1,00,000.00
Add: 5% Fringe Benefit			5,000.00
Total Labour Cost Per Month			1,05,000.00
Total Labour Cost for the year (In Rs. Lakhs)		8	12.60

BREAK UP OF SALARY

Particulars	Salary	No of	Total
	Per Month	Employees	Salary
Accountant cum store keeper	20,000.00	1	20,000.00
Sales personal	18,000.00	1	18,000.00
			-
Total Salary Per Month			38,000.00
Add: 5% Fringe Benefit			1,900.00
Total Salary for the month			39,900.00
Total Salary for the year (In Rs. Lakhs)		2	4.79

FINANCIAL INDICATORS					
TURNOVER	50.90	59.52	66.88	74.57	82.58
GROSS PROFIT	9.05	10.75	12.69	14.46	16.33
G.P. RATIO	17.78%	18.07%	18.98%	19.39%	19.77%
NET PROFIT	1.82	2.45	3.10	3.72	4.29
N.P. RATIO	3.6%	4.1%	4.6%	5.0%	5.2%
CURRENT ASSETS	5.23	5.39	5.91	6.47	7.05
CURRENT LIABILITIES	3.94	4.01	4.09	4.16	4.25
CURRENT RATIO	1.33	1.34	1.45	1.55	1.66
TERM LOAN	4.52	3.39	2.26	1.13	-
TOTAL NET WORTH	1.65	2.20	3.20	4.33	5.53
DEBT/EQUITY	2.74	1.54	0.71	0.26	-
TOTAL NET WORTH	1.65	2.20	3.20	4.33	5.53
TOTAL OUTSIDE LIABILITIES	8.46	7.40	6.35	5.29	4.25
TOL/TNW	5.12	3.36	1.98	1.22	0.77
PBDIT	3.51	3.93	4.37	4.79	5.16
INTEREST	0.92	0.82	0.69	0.57	0.44
INTEREST COVERAGE RATIO	3.82	4.81	6.30	8.41	11.59
WDV	4.88	4.21	3.64	3.15	2.73
TERM LOAN	4.52	3.39	2.26	1.13	-
FACR	1.08	1.24	1.61	2.79	-

BREAK EVEN POINT ANALYSIS					
Year	I	II	III	IV	V
Net Sales & Other Income	50.90	59.52	66.88	74.57	82.58
Less : Op. WIP Goods	-	1.76	1.99	2.24	2.49
Add : Cl. WIP Goods	1.76	1.99	2.24	2.49	2.76
Total Sales	52.65	59.75	67.13	74.83	82.85
Variable & Semi Variable Exp.					
Raw Material & Tax	25.65	28.81	32.08	35.45	38.93
Electricity Exp/Coal Consumption at 85%	2.38	2.62	2.85	3.09	3.33
Wages & Salary at 60%	10.43	12.04	13.79	15.66	17.69
Selling & administrative Expenses 80%	1.22	1.43	1.61	1.79	1.98
ii) Interest On Working Capital	0.37	0.37	0.37	0.37	0.37
Repairs & Maitainance	1.78	2.08	2.34	2.61	2.89
Total Variable & Semi Variable Exp	41.83	47.34	53.03	58.97	65.19
Contribution	10.82	12.41	14.10	15.85	17.66
Fixed & Semi Fixed Expenses					
Electricity Exp/Coal Consumption at 15%	0.42	0.46	0.50	0.55	0.59
Wages & Salary at 40%	6.96	8.02	9.19	10.44	11.79
Interest on Term Loan	0.55	0.45	0.33	0.20	0.08
Depreciation	0.77	0.66	0.57	0.49	0.42
Selling & administrative Expenses 20%	0.31	0.36	0.40	0.45	0.50
Total Fixed Expenses	9.00	9.96	11.00	12.13	13.38
Capacity Utilization	50%	55%	60%	65%	70%
OPERATING PROFIT	1.82	2.45	3.10	3.72	4.29
BREAK EVEN POINT	42%	44%	47%	50%	53%
BREAK EVEN SALES	43.82	47.94	52.36	57.25	62.74

CALCULATION OF D.S.C.R

PARTICULARS	I	II	III	IV	V
<u>CASH ACCRUALS</u>	2.59	3.12	3.67	4.22	4.73
Interest on Term Loan	0.55	0.45	0.33	0.20	0.08
Total	3.14	3.57	4.00	4.42	4.81
<u>REPAYMENT</u>					
Repayment of Term Loan	0.57	1.13	1.13	1.13	1.13
Interest on Term Loan	0.55	0.45	0.33	0.20	0.08
Total	1.12	1.58	1.46	1.33	1.21
DEBT SERVICE COVERAGE R	2.81	2.26	2.75	3.32	3.98
AVERAGE D.S.C.R.			2.98		

7. License & Approvals: Basic License & Approvals required in this project:

- GST Registration
- Udyam Registration (Optional)
- Choice of a Brand Name of the product and secure the name with Trademark if require.

8. SWOT Analysis of Black Clay Flower Pots Unit:

STRENGTHS:	WEAKNESSES:
✓ High dependability. ✓ Uninterrupted printing. ✓ Cost-effective production. ✓ Comfortable availability of raw materials and other inputs	✓ Lack of division of labour. ✓ Shortage of available infrastructure
OPPORTUNITIES:	THREATS:
✓ The products made have huge demands in the international market as well as the national urban markets. ✓ Increased access to e-commerce portals are expected to boost product demand.	✓ Key Vendors ✓ Prices of Raw Material. ✓ New Entrants in Market. ✓ Rising inventory levels

9. Assumptions:

1. Production Capacity of Black Clay Flower Pots is 180 Pieces per day. First year, Capacity has been taken @ 50%.
2. Working shift of 10 hours per day has been considered.
3. Raw Material stock and Finished goods closing stock has been taken for 10 days.
4. Credit period to Sundry Debtors has been given for 10 days.
5. Credit period by the Sundry Creditors has been provided for 7 days.
6. Depreciation and Income tax has been taken as per the Income tax Act, 1961.
7. Interest on working Capital Loan and Term loan has been taken at 11%.
8. Salary and wages rates are taken as per the Current Market Scenario.
9. Power Consumption has been taken at 25 HP.
10. Selling Prices & Raw material costing has been increased by 3% & 2% respectively in the subsequent years.

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